



WHILE SOME BUSINESSES HAVE BEEN REAPING THE REWARDS OF RISING INFLATION, HOUSEHOLD FINANCES HAVE TAKEN A BEATING DUE TO RUNAWAY PRICES OF BASIC ITEMS LIKE FOOD AND FUEL

BY RAJAT MISHRA

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THE THREE WITCHES in William Shakespeare's *Macbeth*—representing evil, chaos and darkness—seem the perfect metaphor for the current economic situation. The three witches that can derail India's and the world's economic recovery are hardening commodity prices, soaring inflation and unrelenting geopolitical tension, especially emanating from the Ukraine conflict. Countries across the world are bearing the brunt. In March 2022, retail inflation in India was at a 17-month high of 6.95 per cent, while in the US it was at a 40-year high of 8.5 per cent. In India, the wholesale price index (WPI) was also at a 30-year high of 12.96 per cent in FY22, and 14.55 per cent in March.

But it's not worrying everyone. Former finance secretary Subhash Chandra Garg points out that high inflation has been around under every regime: "India has had episodes of inflation for a very long time. In fact, episodes of not having inflation are smaller. So, if you go to the recent past, from 2008 to 2013-14, we had massive [retail] inflation ranging from 8.35 per cent to 11.06 per cent." Inflation, which has made governments and policymakers jittery, impacts not only households, but everyone involved in the economy.

The assumption that inflation is evil doesn't fly when it comes to government finances. From fiscal deficit to tax collection to public debt-to-GDP ratio, inflation has a positive impact on government finances. But it's not like the government can let inflation rise exponentially, as it runs the risk of an electoral backlash. "Due to inflation, all VATs—GST, excise—will go up," says Pronab Sen, former chief statistician of India, adding that the rise in GST collections won't be proportionate to inflation because food inflation wouldn't impact GST collection. Adds Garg: "Inflation implies the prices of goods will go up, which then yields more indirect taxes; and there is more profitability, which yields higher income taxes. It's not only the earnings that are impacted by higher inflation. Another vital component of government finances—expenditure—takes a beating because of inflation. The government incurs expenditure in two ways, revenue and capital, and inflation impacts both."

The government allocated ₹31.95 lakh crore as